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Case Number: 19STCV29553 Hearing Date: August 14, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Motion for Order Requiring
Receiver Status Disclosure and Production of Receivership Records

The Motion is granted as to the status of the receivership and the
existence of the records sought, and is otherwise denied without prejudice.

BACKGROUND

Plaintiffs Hope and Trust Trading, Inc. and Seyedjalil Firoozabadi
(collectively, "Plaintiffs") filed this action against Sanath, Inc., California
Medical Imaging, Inc., Sammy Ciling, and Anke Ciling, alleging that Plaintiffs
were excluded from control of an imaging business after they purchased a
majority of its shares.

The causes of action are: (1) Breach of Contract - Written; (2) Breach of
Contract - Oral; (3) Breach of Fiduciary Duty; (4) Fraud in the Inducement; (5)
Fraud in the Factum; (6) Breach of Duty of Undivided Loyalty; (7) Ouster of
Majority Shareholder; (8) Embezzlement; and (9) Identity Theft.

The Court entered judgment for Plaintiffs on April 13, 2021, after a court
trial. It thereafter appointed Shapour Asher as a limited purpose receiver (the
Receiver) to carry that judgment into effect. By order entered August 30, 2021,
it authorized the Receiver to enter Defendants' two imaging centers, to seize
the imaging equipment, computers, and financial records there, and to obtain
access to Defendants' banking information and accounts receivable. On April 19,
2024, the Court entered a further order on the landlord's application,
addressing the Receiver's access to one of those locations and directing him to
report in writing on what he had done to monitor and maintain the seized MRI

and CT scanners since January 5, 2024.

On June 18, 2026, the Court denied Defendants' ex parte application for an Order Requiring Receiver Status Disclosure, Identification and Production of Receivership Records, Inventories, Reports, Accountings, and Related Documents.

Defendants Sammy Ciling and Anke Ciling (Defendants) filed a Motion for Order Requiring Receiver Status Disclosure, Identification and Production of Receivership Records, Inventories, Reports, Accountings, and Related Documents. Defendants also filed a Supplemental Declaration and Request for Disclosure of Receiver's Qualification, Undertaking, Appointment, Authority, and Neutrality Records. Plaintiffs filed an Opposition.

ANALYSIS

I. Reconsideration

Plaintiffs argue that the Motion repackages relief Defendants have already sought and been denied, and that Code of Civil Procedure section 1008 bars it. (Opp., pp. 5-7.) They rely on two rulings: this Court's denial of Defendants' ex parte application on June 18, 2026, and a Riverside County Superior Court ruling denying a motion Defendants filed in a separate action there.

Code of Civil Procedure section 1008, subdivision (a) permits a party affected by an order to apply, within 10 days after service of written notice of entry and on new or different facts, circumstances, or law, "to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order." Subdivision (b) permits a party whose application was refused to make "a subsequent application for the same order upon new or different facts, circumstances, or law." That party must show by affidavit "what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown." Subdivision (e) provides that the section "specifies the court's jurisdiction with regard to applications for reconsideration of its orders and renewals of previous motions, and applies to all applications to reconsider any order of a judge or court, or for the renewal of a previous motion, whether the order deciding the previous matter or motion is interim or final." It further provides that "[n]o application to reconsider any order or for the renewal of a previous motion may be considered by any judge or court unless made according to this section." The prohibition attaches to two forms of application, one to

reconsider an order and one to renew a previous motion. It does not convert a ruling on the availability of a procedure into a ruling on the relief sought by the procedure.

A. The Ex Parte Denial

Here, the Court denied Defendants' ex parte application on June 18, 2026 for failure to make an "affirmative factual showing in a declaration containing competent testimony based on personal knowledge of irreparable harm, immediate danger, or any other statutory basis for granting relief ex parte." (Minute Order, June 18, 2026; Cal. Rules of Court, rule 3.1202(c).) That is a ruling about the availability of the emergency procedure. It decided that Defendants had not shown what ex parte relief requires, and it decided nothing about whether the Court should order disclosure after notice and full briefing. The order refused ex parte treatment rather than the disclosure sought. The Motion asks the Court to decide the disclosure question in the first instance. It is neither an application to reconsider the June 18, 2026 order nor a renewal of the application that order refused. Subdivision (b)'s affidavit requirement and subdivision (e)'s prohibition therefore do not engage.

Rule 3.1202(b) provides that "[i]f an ex parte application has been refused in whole or in part, any subsequent application of the same character or for the same relief, although made upon an alleged different state of facts, must include a full disclosure of all previous applications and of the court's actions." The rule addresses a later ex parte application. It reaches the noticed motion before the Court by analogy alone. The Judicial Council contemplates that a party whose ex parte application has been refused may seek the same relief again, and conditions that course on disclosure. A refusal that does not bar a second ex parte application for the same relief cannot bar the noticed motion that the ex parte procedure exists to expedite.

B. The Riverside Ruling

Plaintiffs have pursued enforcement of the judgment entered in this action in Riverside County as well as here, filing a related creditor's suit there to reach assets discovered after entry of judgment. (Sutz Decl., ¶¶ 3, 5.) In that action Defendants sought an order requiring Plaintiffs to authenticate each judgment lien, notice, and other enforcement instrument recorded against them, to identify all credits and amounts recovered, to account for the balance claimed due, and to produce records supporting the amounts asserted. (Opp.,

Exh. 1, p. 5.) The Riverside court issued a tentative ruling denying that motion and adopted it on July 18, 2026. (Sutz Decl., ¶ 8.)

Subdivision (a) directs an application for reconsideration to the same judge or court that made the order, and this Court is not that court. Neither the June 18, 2026 order nor the Riverside ruling bars the Court from deciding the Motion.

II. Receivership Status

Defendants argue that the Court retains continuing authority over the receivership it created and should require the Receiver to disclose its present status and the records generated in administering it. (Mot., pp. 5-6, 11; Reply, pp. 2-3.) Plaintiffs argue that the Enforcement of Judgments Law nowhere authorizes a judgment debtor to compel a judgment creditor or a court-appointed receiver to account by noticed motion. (Opp., pp. 2-3.)

A. The Court's Authority

The Receiver was appointed after judgment to carry the judgment into effect. (Mot., Exh. A, p. 2.) A receiver may be appointed “[a]fter judgment, to carry the judgment into effect.” (Code Civ. Proc., § 564, subd. (b)(3).) Chapter 5 of title 7 governs his qualifications, powers, and duties whether or not the appointment was made under the Enforcement of Judgments Law. “The provisions of Chapter 5 (commencing with Section 564) and Chapter 5a (commencing with Section 571) of Title 7 govern the appointment, qualifications, powers, rights, and duties of a receiver appointed under this article.” (Code Civ. Proc., § 708.610.)

Code of Civil Procedure section 568 gives the receiver his powers “under the control of the Court” and authorizes him “generally to do such acts respecting the property as the Court may authorize.” A receiver’s “functions and powers ... are controlled by statute, by the order appointing him, and by orders subsequently made by the court. He has no powers beyond those so conferred.” (Morand v. Superior Court (1974) 38 Cal.App.3d 347, 351, quoting 42 Cal.Jur.2d, Receivers, § 73.) The Receiver holds every power he has from this Court’s orders, and he holds them under this Court’s control.

The Court’s authority over the officer it appointed rests on more than the receivership statutes. Every court has power “[t]o provide for the orderly

conduct of proceedings before it, or its officers,” “[t]o compel obedience to its judgments, orders, and process,” and “[t]o control in furtherance of justice, the conduct of its ministerial officers, and of all other persons in any manner connected with a judicial proceeding before it, in every matter pertaining thereto.” (Code Civ. Proc., § 128, subd. (a)(3), (5).) These powers concern the Court’s administration of the receivership it created and the accountability of the officer who conducts it.

The receiver “is the agent of the court and not of any party,” “[i]s neutral,” and “[h]olds assets for the court and not for the plaintiff or the defendant.” (Cal. Rules of Court, rule 3.1179(a).) Before entering upon his duties, the receiver must be sworn to perform them faithfully and must give an undertaking to the State of California in the sum the court directs. (Code Civ. Proc., § 567.) The receiver must file an inventory of the property taken into possession within 30 days after appointment or within the time the court orders, and must promptly file a supplementary inventory of property obtained later. (Cal. Rules of Court, rule 3.1181.) The receiver “must provide monthly reports to the parties,” each containing a narrative report, a financial report, and an itemized statement of fees paid. Those reports are not filed with the court unless the court so orders. (Cal. Rules of Court, rule 3.1182(a), (b).) The receiver “must present by noticed motion or stipulation of all parties” a final account and report, a request for discharge, and a request for exoneration of the surety. (Cal. Rules of Court, rule 3.1184(a).)

Two of those duties run to Defendants by name. Defendants are parties, so rule 3.1182(a) entitles them to the monthly reports, and rule 3.1184(a) entitles them to notice of the motion by which the final account and the request for discharge must be presented. The relief ordered below issues under those provisions and under the Court’s authority over its own officer. It does not depend on any statute authorizing a judgment debtor to compel an accounting from a judgment creditor.

B. The Receivership Record

Here, the Receiver was appointed in 2021 and authorized to enter Defendants’ two imaging centers, to seize the equipment, computers, and financial records there, and to obtain access to Defendants’ banking information and accounts receivable. (Mot., Exh. A, ¶¶ 1, 5.) The record does not establish what became of that authority afterward. The Receiver’s declaration states that the landlord at the Wilshire location obtained a writ

of possession and sold the assets of that business in partial satisfaction of a judgment for unpaid rent, and that the Fallbrook location was destroyed by fire about two weeks after he entered it. (Mot., Exh. C, ¶¶ 3, 5.) The Court's April 19, 2024 order recites that the justification for the Receiver's entry into Suite 100 ended on March 25, 2024, and it barred further entry without the landlord's approval. (Mot., Exh. B, ¶¶ 1-2.) No party has asked the Court to modify or terminate the appointment order, and these papers do not frame the scope of the Receiver's authority under the 2021 order following the April 19, 2024 order. The Court therefore makes no determination about the scope of that authority.

The record does not contain the paper trail the receivership generated. The register of actions Defendants submitted shows no inventory, no final account and report, no request for discharge, and no order discharging the Receiver or exonerating an undertaking. (Mot., Exh. D.) The absence of monthly reports from that register indicates nothing, because rule 3.1182(b) provides that they are not to be filed unless the court orders otherwise. The Receiver's declaration states that he and his assistant tried to take inventory of the assets at the Fallbrook location, and that neither he nor the judgment creditor received anything of value that could be credited against the judgment. (Mot., Exh. C, ¶¶ 5, 6.) It does not state whether the receivership has been concluded, nor does anything else before the Court. The Court recites the Receiver's statements as his account of events and makes no finding on them.

Defendants report that they cannot locate the ordered MRI and CT report in the publicly available court record. (Mot., p. 7.) The April 19, 2024 order did not direct that the report be filed. It directed the Receiver to email a copy to the landlord's counsel within five business days and to respond in writing to reasonable written questions about it. (Mot., Exh. B, ¶¶ 4-5.) The register of actions cannot resolve whether the report was prepared. The Court therefore puts the question to the Receiver.

Plaintiffs' memorandum asserts that Defendants are aware of every asset recovered and have already been given a full accounting of them. (Opp., p. 4.) A statement in a memorandum is not evidence, and the declaration filed with the Opposition does not make that statement.

C. Accounting

Plaintiffs also argue that an accounting is an independent equitable cause

of action rather than relief available on motion. (Opp., pp. 2-3.) Defendants do not seek one. The Motion states that Defendants “do not contend that any particular report or accounting is absent” and instead seek to learn whether inventories, interim reports, final reports, final accountings, discharge requests, and discharge orders exist. (Mot., p. 6.) The Reply confirms that Defendants “do not request that Plaintiff prepare a new accounting” and that the Court “should not require Plaintiff or the Receiver to create documents that do not exist.” (Reply, pp. 2, 11.) The doctrine Plaintiffs invoke concerns an accounting sought by one litigant from another. A cause of action for an accounting requires a relationship between the parties that calls for an accounting and some balance due that can be ascertained only by that means, and it is unavailable where the plaintiff alleges a right to recover a sum certain or a sum that can be made certain by calculation. (Tesselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.) Those rules govern when one party may compel another to account. They say nothing about the account a receiver owes the court that appointed him. That account is an obligation of the office, imposed by rule 3.1184(a) and enforceable under Code of Civil Procedure section 128, subdivision (a). It is not a remedy a litigant must plead.

D. Orders

The duties imposed by the rules cover the disclosure sought by the Motion. The Receiver is directed to state the status of the receivership and whether the records identified in the Motion were prepared.

Rule 3.1184(a) fixes no time for the final account, and the record does not show whether the receivership remains open. The Motion does not raise, and the present record cannot answer, whether the Receiver should now present a final account and report, a request for discharge, and a request for exoneration of any undertaking. The Court sets that question for hearing on its own motion.

An Order to Show Cause re the status of the receivership and the Receiver’s final account, report, discharge, and exoneration of any undertaking is set for October 9, 2026 at 8:30 a.m. The Receiver has not appeared, and the papers do not reflect that he was served with the Motion. (Mot., p. 16.) Within five court days, Defendants are ordered to serve a copy of this order on Receiver Shapour Asher at the address used for service of the Supplemental Declaration, and to file a proof of service.

No later than 30 days after service of this order upon him, Receiver Shapour Asher is ordered to file and serve on the parties a written response under penalty of perjury addressing: (1) whether he took the oath and gave the undertaking required by Code of Civil Procedure section 567, and if so, when and in what amount; (2) whether he filed an inventory under California Rules of Court, rule 3.1181, and if not, what property he took into his possession; (3) whether he prepared and provided the monthly reports required by rule 3.1182(a), and to whom; (4) whether he prepared the written report required by the Court's April 19, 2024 order, and to whom he provided it; (5) whether the receivership remains open; and (6) whether he will present a final account and report under rule 3.1184(a). Any party may file and serve a response no later than nine court days before the hearing.

III. Production of Records

Defendants also ask the Court to order the Receiver to identify and produce 15 enumerated categories of receivership records and to set a compliance deadline. (Mot., pp. 12-14.)

The Court does not know which of the 15 categories exist. The Receiver's response will establish which of the records the Motion identifies were prepared, and the Reply asks for no more than a representation to that effect where they were not. (Reply, p. 12.) Until that response is filed, an order compelling production would be either idle because the documents do not exist or framed without knowing what it would cover.

The request for production is denied without prejudice. If the Receiver's response identifies inventories, reports, accountings, or other records that were prepared and were not provided to the parties as the rules require, Defendants may renew the request as to those records. The Motion does not ask the Court to determine the judgment balance or the effect of any credit, and the Court determines neither. (Reply, pp. 7, 11.) The Court does not reach Defendants' contention that substantial receivables were outstanding and that payments were negotiated after Defendants lost access to the businesses. (Mot., pp. 7-8.) Those questions belong to the accounting the receivership rules require.

IV. Supplemental Request

Defendants filed a Supplemental Declaration on July 29, 2026 seeking six

further categories of disclosure, directed to the Receiver's oath and undertaking, the basis for his selection and his qualifications, any material relationship between him and Plaintiffs or their counsel, the authority for each act he took, his employment and compensation of professionals, and the contemporaneous records of his administration of the receivership. (Supp. Decl., pp. 2-6.)

A notice of motion must state the grounds on which the motion will be made and the papers on which it is based, and moving and supporting papers must be served and filed at least 16 court days before the hearing. (Code Civ. Proc., §§ 1010, 1005, subd. (b).) The notice of motion states none of these grounds; the declaration was served 12 court days before the hearing and nine days after the Opposition, and neither Plaintiffs nor the Receiver has responded to it. Defendants alternatively ask that the hearing be continued to permit service and supplemental briefing, which would not supply the notice the statute requires. (Supp. Decl., p. 7.) The Court declines to consider the requests on these papers, and they are denied without prejudice to a separately noticed motion, and, as to records the Motion already sought, without prejudice to renewal after the Receiver's response.

CONCLUSION

The Motion is granted as to the status of the receivership and the existence of the records sought, and is otherwise denied without prejudice. As stated above, the Court sets an OSC re the status of the receivership and the Receiver's final account, report, discharge, and exoneration of any undertaking for October 9, 2026 at 8:30 a.m.